

October 30, 2019

By Email

Rachel E. Dickon, Secretary,
Federal Maritime FMC
800 North Capitol Street NW
Washington, DC 20573-0001

Re: FMC Docket No. 19-05; Demurrage & Detention Comments

Dear Secretary Dickon,
:

This comment is filled by CARS USA SHIPPING LLC (CARS), a Non-Vessel-Operating Common Carrier (NVOCC) licensed by the Federal Maritime FMC (FMC), in response to the notice published in the September 17, 2019 Federal Register, 84 FR 48850.

The proposal seeks public comment on the FMC's interpretation of the Shipping Act's mandate of just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property with respect to demurrage and detention. Specifically, the FMC is proposing guidance as to what it will consider in assessing whether a demurrage or detention practice is unjust or unreasonable.

The proposed interpretive rule would apply to practices and regulations relating to demurrage and detention for containerized cargo. Demurrage and detention would include any charges, including "per diem," assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries ("regulated entities") related to the use of marine terminal space (e.g., land) or shipping containers, not including freight charges.

CARS 100% supports the FMC's proposal, including the following policies:

- *Incentive Principle.* In assessing the reasonableness of demurrage and detention practices and regulations, the FMC should consider the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity.
 - *Particular Applications of Incentive Principle.—*
 - *Cargo Availability.* The FMC should consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.
 - *Empty Container Return.* Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, should be found unreasonable.
 - *Notice of Cargo Availability.* In assessing the reasonableness of demurrage practices and regulations, the FMC should consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The FMC should consider the type of notice, to whom notice

is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.

- Government Inspections.—the FMC should adopt the following policies:
 - In the absence of extenuating circumstances, demurrage and detention practices and regulations that provide for the escalation of demurrage or detention while cargo is undergoing government inspection should be found unreasonable;
 - In the absence of extenuating circumstances, demurrage and detention practices and regulations that do not provide for mitigation of demurrage or detention while cargo is undergoing government inspection, such as by waiver or extension of free time, should be found unreasonable;
 - In the absence of extenuating circumstances, demurrage and detention practices and regulations that lack a reasonable cap on the amount of demurrage or detention that may be imposed while cargo is undergoing government inspection should be found unreasonable.

We would like to provide the FMC with an example of an unreasonable and unjust demurrage charge of which we are aware:

A container bound for export had a car loaded for shipment and was delivered to Yang Ming at the Port of Newark. Citing the provisions of 19 CFR Part 192, Customs and Border Protection demanded that the exporter provide to CBP the original certificate of title (CoT) of the vehicle and a dock receipt proving the container had been delivered to the port 72 hours (working) prior to the vessel departure . The Line issued unreasonable time to return the container and obtain this authorization from US customs as they give only 2 days. Please see booking. Due to US Customs asking a question (although incorrectly) it delayed the Clearance and the line automatically rolled the booking and charged a week of demurrage, due to the line not having another vessel for a week, as well as roll fees” Both demands, US Customs and the Line time frame, was beyond the control of exporter and the exporter required a reasonable amount of time to obtain the Clearance from US Customs receive 2 days later. Under these circumstances, the ___ imposed demurrage and chares totaling \$3,330.00. This is clearly unjust and unreasonable given that NEITHER the CBP document demand, nor the sailing schedule of the carrier was within the control of the exporter.

In view of the above we respectfully request that the FMC adopt the interpretative rule in accordance with the above comments.

Sincerely,

Robin Grove
CEO
CARS USA SHIPPING LLC



AIR-CITY INC.

210 E Sunrise
Highway Valley
New York 11581
Tel: 718-949-2900

BOOKING CONFIRMATION

Original Booking**

Create Date	September 20, 2019	BOOKING NUMBER	YHU598696
Equipment	1 x 20	CARRIER	YANGMING
Port of Receiving	NEW YORK	VESSEL NAME	MOL EMPIRE 027E
Port of Loading	NEW YORK	ERD (check with terminal)	9/24/2019 Earliest return date to return loaded container cannot be returned before stated date. Subject to change due to terminal
Port of Discharge	LONDON GATEWAY	Auto Cutoff	9/24/2019
Port of Destination	LONDON GATEWAY	Document cutoff	9/26/2019 Date to submit our Master Bill of Lading instructions to the carrier.
General Cargo	9/27/2019	Title Cutoff	9/26/2019 Validated title needs to be submitted to the carrier.
EMPTY PICKUP LOCATION:	GLOBAL TERMINAL 302 PORT JERSEY BLVD JERSEY CITY, NJ	ETD	10/2/2019
FULL RETURN LOCATION:	MAHER TERMINAL 1210 CORBIN ST ELIZABETH, NJ	ETA	10/21/2019
**RATE:	Chris Ambrosia to advise		
*Remarks:	9/20 – equip change		
Contact Person:	AZELIA NG ang@air-city.com		

NOTES:

Received rejection: 09/27/2019 @ 4:31 pm. :Called US Customs office Monday 09/30 spoke to Officer Lyte and he advised they needed the UK registration.

Received validation: 10/01/2019 but booking was rolled to following next vessel.

Jennie Y. Wang

To whom it May Concern,

RE: Exportation of Used Vehicles-

Temporary imports are **Exempted** from this regulation as noted on the CBP HQ website Under Section 192.2 Basic requirements. “ **UNLESS** the vehicle was entered into the United states under an in-bond procedure, a carnet, a Temporary import Bond or under a personal exemption for non residents who entered the vehicle for a 1 year period

This was updated by CBP on August 9, 2017

Therefore: This regulation DOES NOT apply to these temporary imports, and no document submission to CBP or 72 hour hold applies.

Structure of the Regulations

Procedurally, all exporters or their agents who present a document to Customs are to begin at 19 CFR 192.2 (b) (1) and then progress through each subsection until the exporter arrives at the section and subsection(s) that apply to the vehicle that has been presented to Customs for export. This procedure ensures that no requirement is misinterpreted, misapplied, or circumvented by either the exporter or the reviewing Customs officer.

Section 192.2 Requirements for Exportation

0. Basic requirements

A person attempting to export a used self-propelled vehicle shall present to Customs, at the port of exportation, both the vehicle and the required documentation describing the vehicle to include the VIN or, if the vehicle does not have a VIN, the product identification number (PIN). Exportation of a vehicle will be permitted only upon compliance with these requirements, unless the vehicle was entered into the United States under an in-bond procedure, a carnet, a Temporary Importation Bond, or under a personal exemption for non-residents who entered the vehicle for a 1-year period.

Documentation required

Taken from:

<https://www.cbp.gov/trade/basic-import-export/export-docs/motor-vehicle>



U.S. Customs And Border Protection
Department of Homeland Security



NEWARK VEHICLE ENFORCEMENT TEAM
REJECTION FORM

Date: 9.27.19

Please be advised, the paperwork you submitted CANNOT be processed because it is not in order due to the following reason(s):

- ☐ NO DOCK RECEIPT provided with paperwork
- ☐ DOCK RECEIPT is not legible and/or missing information/hand written is not acceptable
- ☐ PROBLEM WITH PIER STAMP
* MISSING or not CLEAR AND IN FULL
- ☐ NY STATE DMV HAS NO RECORD ISSUING SALVAGE CERTIFICATE (907a)
- ☐ VIN #'s on DOCK RECEIPT do not match those on TITLE(S) or cannot be clearly read
- ☒ You must provide ORIGINAL TITLE, CERTIFICATE OF ORIGIN, CERTIFIED TITLE, or PROPER DOCUMENTATION FROM THE STATE DMV (i.e. registration if no title is warranted) We will not stamp photo copies of documents.
- ☐ You MUST provide a CERTIFIED Lien Release from the BANK/LIEN HOLDER
- ☐ AES and Dock receipt does not match vessel Departure.
- ☐ 72 HOUR RULE VIOLATION (If rolled over, AES filing needs to be updated)
- ☐ CERTIFIED Bill of sale and proof of CERTIFIED payment.
- ☒ OTHER:

All vehicle exports to go to 1210 Corbin

Please make corrections to the above mentioned problems and resubmit your entire package.

MUST INCLUDE THIS ORIGINAL FORM WITH YOUR CORRECTIONS

Any questions contact us via e-mail at: NY-NWKPROBRES@DHS.GOV

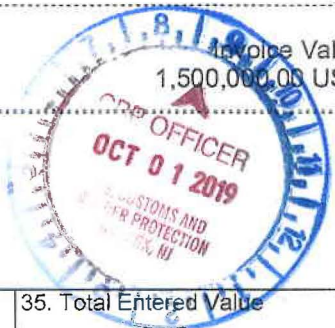


DEPARTMENT OF HOMELAND SECURITY
U.S. Customs and Border Protection

OMB APPROVAL NO. 1651-0022
EXPIRATION DATE 01/31/2021
ESTIMATED BURDEN 10 MIN

ENTRY SUMMARY

8. Importing Carrier NYK REMUS		9. Mode of Transport 11		1. Filer Code/Entry No. 9TY-0007981-1		2. Entry Type 11 ABI/A		3. Summary Date 07/31/19	
12. B/L or AWB No. ONEY LIVV32421301, LIVV32421A02		13. Manufacturer ID GBBENMOTCHE		14. Exporting Country GB		15. Export Date 06/18/19		4. Surety No. 050	
16. I.T. No.		17. I.T. Date		18. Missing Docs		19. Foreign Port of Lading 41374		20. U.S. Port of Unlading 2704	
21. Location of Goods/G.O. No. Y773 Voyage: 055W		22. Consignee No. 192720-19154		23. Importer No. 192720-19154		24. Reference No.		7. Entry Date 07/21/19	
25. Ultimate Consignee Name and Address MARTIN GAENSLER 100 TERRANEA WAY Destination: CA City RANCHO PALOS VERDES State CA Zip 90275				26. Importer of Record Name and Address MARTIN GAENSLER MILL HOUSE, 119 MINN LANE City WATFORD State FN Zip WD24 7UBB					
27. Line No.		28. Description of Merchandise		32. A. Entered Value B. CHGS C. Relationship		33. A. HTSUS Rate B. ADA/CVD Rate C. IRC Rate D. Visa No.		34. Duty and I.R. Tax Dollars Cents	
29. A. HTSUS No. B. ADA/CVD No.		30. A. Grossweight B. Manifest Qty.		31. Net Quantity in HTSUS Units					
001		NONRES: VEHICLES ARRVG W/PERSN 9804.00.35 1929 BENTLEY SPEED SIX VIN#: LB2333		1 VEH \$1,500,000 C \$2,160 N		FREE		\$0.00	
		Totals for Invoice SOV1929BEN		Invoice Value 1,500,000.00 USD		+/- MMV		Exchange 1.00000 Entered Value 1,500,000.00 USD	
Other Fee Summary for Block 39				35. Total Entered Value \$ 1,500,000 Total Other Fees \$ 0.00		CBP USE ONLY		TOTALS	
36. DECLARATION OF IMPORTER OF RECORD (OWNER OR PURCHASER) OR AUTHORIZED AGENT I declare that I am the ☐ Importer of record and that the actual owner, purchaser, or consignee for CBP purposes is as shown above, OR ☒ owner or purchaser or agent thereof. I further declare that the merchandise ☒ was obtained pursuant to a purchase or agreement to purchase and that the prices set forth in the invoices are true, OR ☐ was not obtained pursuant to a purchase or agreement to purchase and the statements in the invoices as to value or price are true to the best of my knowledge and belief. I also declare that the statements in the documents herein filed fully disclose to the best of my knowledge and belief the true prices, values, quantities, rebates, drawbacks, fees, commissions, and royalties and are true and correct, and that all goods or services provided to the seller of the merchandise either free or at reduced cost are fully disclosed. I will immediately furnish to the appropriate CBP officer any information showing a different statement of facts.				A. LIQ CODE		B. Ascertained Duty		37. Duty \$0.00	
				REASON CODE		C. Ascertained Tax		38. Tax	
						D. Ascertained Other		39. Other \$0.00	
						D. Ascertained Total		40. Total \$0.00	
41. DECLARANT NAME MANNY RODRIGUEZ				TITLE ATTY-IN-FACT		SIGNATURE 		DATE 07/13/19	
42. Broker/Filer Information (Name, address, phone number) LOA, INC 15205 S. MAIN STREET GARDENA, CA 90248 310 695 6403				43. Broker/Importer File No. 0007981					





陽明海運股份有限公司
Yang Ming Marine Transport Corporation

Invoice

To

AIR-CITY INC

210 E SUNRISE HWY

VALLEY STREAM NY 11581

UNITED STATES

Vessel	BILBAO BRIDGE	Voyage	AL2938E	Port	USNYC	ETA / ETD	10/08/2019 / 10/09/2019
Booking / BL	Exp.Ref	Load Port	Dis. Port	Fin. Loc	20FT	40FT	45FT
T144340020	SS00174484 C00133523	USNYC	GBLGP	GBLGP	1	0	0

Booking / BL	Charge	Description	Container	Invoice No	Date	Qty	Unit Price	Curr	F. Amount	L. Amount
T144340020	LDM	Demurrage Charge, Terminal		T144340020-00002	10/01/2019	1	2500.00	USD	2500.00	2500.00
	LMC	Miscellaneous Charge		T144340020-00003	10/01/2019	1	830.00	USD	830.00	830.00
Total :									USD	3330.00

Issued by

HOUSAMMIE

Remarks :

CONTAINER BEAU2279186 ROLLED DUE TO NO TITLES AFTER PORT CUT; \$100 ADMIN + \$1130 ROLL 9 DAYS STORAGE; \$250 (1-4 DAYS), \$300 (5-9 DAYS);

Remit Payment To :

YANG MING (AMERICA) CORPORATION
13131 DAIRY ASHFORD, SUITE 300
SUGAR LAND, TX 77478

User Name: SAMMIE WU

Tel#: 281-295-8640

Fax#:

E-mail: sammiewu@us.yangming.com